

COMMITTEE ON WAYS & MEANS
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2784
(Reference to printed bill)

1 Strike everything after the enacting clause and insert:

2 "Section 1. Section 15-991, Arizona Revised Statutes, is amended to
3 read:

4 15-991. County school superintendents; annual estimate;
5 monies for ensuing year; property tax calculations;
6 property tax oversight commission review

7 A. The county school superintendent shall recompute the
8 equalization assistance for education for each school district pursuant to
9 section 15-971, subsection A and compute the additional amount to be
10 levied pursuant to section 15-992, subsection B using the property values
11 provided by the county assessor under section 42-17052. The county school
12 superintendent must certify in writing to the property tax oversight
13 commission on or before July 25 of each year the amount of equalization
14 assistance for education and the amount to be levied for each school
15 district from the primary property tax pursuant to section 15-992.

16 B. The county school superintendent must prepare and file with the
17 governing board of each school district in the county and the property tax
18 oversight commission on or before July 25 of each year a written estimate
19 of the amount of monies required by each school district for the ensuing
20 school year based on the proposed budget adopted by each school district
21 governing board. The estimate shall contain:

22 1. A statement of the student count of each school district.

23 2. The additional amounts needed for each school district from the
24 primary property tax and the secondary property tax, as estimated by the
25 county school superintendent. The county school superintendent shall
26 certify those amounts to the board of supervisors and the property tax
27 oversight commission in writing at the time of filing the estimate.

28 3. THE AMOUNT DETERMINED PURSUANT TO SECTION 15-992, SUBSECTION H.

29 ~~3.~~ 4. The calculation of the amount to be levied as prescribed by
30 section 15-992 using the values provided by the county assessor under
31 section 42-17052.

32 C. The property tax oversight commission must review the primary
33 property tax calculations filed under subsection B, paragraph ~~3~~ 4 of this
34 section.

35 D. The county school superintendent must file in writing with the
36 county board of supervisors and the property tax oversight commission on
37 or before the third Monday in August of each year the amount that is
38 required to be levied for each school district from both the primary
39 property tax prescribed by section 15-992 and the secondary property tax.

1 E. On or before September 1 **OF EACH YEAR**, the governing board of a
2 school district shall file with the county school superintendent an
3 estimate of the amount of title VIII of the elementary and secondary
4 education act of 1965 monies it is eligible to receive during the current
5 year. On or before June 1 **OF EACH YEAR**, the governing board shall file
6 with the county school superintendent and the superintendent of public
7 instruction a statement of the actual amount of title VIII of the
8 elementary and secondary education act of 1965 monies it received during
9 the current year. This subsection does not apply to accommodation
10 schools.

11 F. The department may collect any other similar or related
12 information from school districts that the department may determine is
13 necessary to carry out the purposes of this section.

14 Sec. 2. Section 15-992, Arizona Revised Statutes, is amended to
15 read:

16 **15-992. School district tax levy; additional tax in districts**
17 **ineligible for equalization assistance; primary**
18 **property tax levy reduction; definition**

19 A. The board of supervisors of each county, at the time of levying
20 other taxes, shall annually levy school district taxes on the property in
21 any school district in which additional amounts are required, which shall
22 be at rates prescribed in this section. A delinquency factor for
23 estimated uncollected taxes may not be included in the computation of the
24 primary tax rate for school district taxes. Local property taxes may not
25 be levied for any deficit in the classroom site fund. The taxes shall be
26 added to and collected in the same manner as other county taxes on the
27 property within the school district. The amount of the school district
28 taxes levied on the property in a particular school district shall be paid
29 into the school fund of that school district.

30 B. At the same time of levying taxes as provided in subsection A of
31 this section, the county board of supervisors shall annually levy an
32 additional tax in each school district that is not eligible for
33 equalization assistance as provided in section 15-971 in an amount
34 determined as follows:

35 1. Determine the levy that would be produced by fifty percent of
36 the applicable qualifying tax rate, prescribed in section 15-971,
37 subsection B, per \$100 assessed valuation.

38 2. Subtract the amounts determined in section 15-971, subsection A
39 and subsection F of this section from the levy determined in paragraph 1
40 of this subsection. This difference is the additional amount levied or
41 collected as voluntary contributions pursuant to title 48, chapter 1,
42 article 8, except that if the difference is zero or is a negative number,
43 there shall be no levy.

44 C. Monies collected pursuant to subsections B and F of this section
45 shall be transmitted to the state treasurer for deposit in the state
46 general fund to aid in school financial assistance.

1 D. The additional tax prescribed in subsection B of this section is
2 considered to be primary property tax for purposes of section 15-972,
3 subsection B, except that this state is not required to make the payments
4 prescribed in section 15-972, subsection H for these reductions in taxes.

5 E. The tax levy prescribed in subsection A of this section shall be
6 a rate equal to the applicable qualifying tax rate or rates as prescribed
7 in section 15-971, subsection B or a rate that would result in a levy that
8 equals the school district equalization assistance base prescribed in
9 section 15-971 subtracted by any amount received pursuant to section
10 15-905, subsections K, O and P per \$100 of assessed valuation used for
11 primary property taxes, whichever is less.

12 F. At the same time of levying taxes as provided in subsection A of
13 this section, the county board of supervisors shall annually levy an
14 additional tax in each common school district not within a high school
15 district that is equal to the lesser of:

16 1. A rate that is equal to the applicable qualifying tax rate or
17 rates as prescribed in section 15-971, subsection B.

18 2. A rate that would result in a levy that equals the statewide
19 average per pupil funding for high school pupils multiplied by the student
20 count as defined in section 15-901 of resident high school pupils in the
21 common school district not within a high school district during the prior
22 school year. On or before July 1 of each year, the department of
23 education shall provide each common school district not within a high
24 school district with the student count as defined in section 15-901 of
25 resident high school pupils in the district during the prior school
26 year. On or before July 1 of each year, the department of education shall
27 provide each county board of supervisors with the statewide average per
28 pupil funding for high school pupils, the student count as defined in
29 section 15-901 of resident high school pupils in the common school
30 district not within a high school district during the prior school year
31 and any other information requested by the county board of supervisors for
32 the purposes of levying the tax prescribed in this subsection. For the
33 purposes of this paragraph, "per pupil funding" means the amount
34 calculated pursuant to section 15-943, paragraph 2, subdivision (a) for
35 grades nine through twelve multiplied by the sum of the following:

36 (a) District additional assistance pursuant to section 15-961,
37 subsections A, B and C for a school district with a student count of six
38 hundred or more in grades nine through twelve.

39 (b) The base level amount prescribed by section 15-901.

40 G. At the time of levying taxes as provided in subsection E of this
41 section, the county school superintendent shall annually validate any
42 additional primary school district tax levy amount requests from each
43 school district and levy the sum of the following amounts:

44 1. A rate that would result in a levy that equals the difference
45 between the transportation revenue control limit as determined in section
46 15-946 and the transportation support level as determined in section
47 15-945 or a lesser amount.

1 2. A rate that would result in a levy that equals any amount
2 pursuant to section 15-910.

3 3. A rate that would result in a levy that equals any amount for
4 tuition loss as determined in section 15-954.

5 4. A rate that would result in a levy that equals any amount for
6 the small school adjustment as determined in section 15-949.

7 5. A rate that would result in a levy that equals any amount for
8 liabilities in excess of the school district budget pursuant to section
9 15-907.

10 6. A rate that would result in a levy that equals any amount for
11 adjacent ways pursuant to section 15-995.

12 7. A rate that would result in a levy that equals the amount not
13 captured by the qualifying tax rate as a result of property subject to the
14 government property lease excise tax pursuant to title 42, chapter 6,
15 article 5 as calculated in section 15-971, subsection B, paragraph 2.

16 8. Following the recommendation of the county school superintendent
17 and on approval by the county board of supervisors, for a school district
18 that is not eligible for state aid, a rate that would result in a levy
19 that equals any legal amount not levied in the current year as a result of
20 underestimated average daily membership in the current year or as a result
21 of a judgment in accordance with section 42-16213.

22 9. A rate that would result in a levy that equals any amount
23 pursuant to a qualifying dropout prevention program that was originally
24 established by law in 1987.

25 10. On the recommendation of the county school superintendent and
26 on approval by the county board of supervisors before adoption of tax
27 rates pursuant to section 42-17151, a rate that would result in a levy
28 that equals any separately stated cash deficit from the prior fiscal year
29 resulting from an anticipated or actual deviation in the property tax
30 roll, including resolutions or judgments pursuant to title 42, chapter 16,
31 articles 5 and 6.

32 H. AT THE TIME OF LEVYING TAXES AS PROVIDED IN SUBSECTIONS E AND G
33 OF THIS SECTION, THE COUNTY SCHOOL SUPERINTENDENT SHALL ANNUALLY REDUCE
34 THE PRIMARY SCHOOL DISTRICT TAX LEVY AMOUNT REQUESTS FROM EACH SCHOOL
35 DISTRICT BY AN AMOUNT DETERMINED AS FOLLOWS:

36 1. DETERMINE THE TOTAL ENDING CASH BALANCES FROM THE SCHOOL
37 DISTRICT'S MAINTENANCE AND OPERATIONS FUND AND UNRESTRICTED CAPITAL OUTLAY
38 FUND REPORTED IN THE SCHOOL DISTRICT'S ANNUAL FINANCIAL REPORT FOR THE
39 IMMEDIATELY PRECEDING FISCAL YEAR PURSUANT TO SECTION 15-904.

40 2. DETERMINE THE AMOUNT THAT THE SCHOOL DISTRICT GOVERNING BOARD
41 BUDGETED FROM BUDGET BALANCES FOR THE CURRENT YEAR PURSUANT TO SECTION
42 15-947, SUBSECTION C, PARAGRAPH 2, SUBDIVISION (a), ITEM (i) AND
43 SUBSECTION D, PARAGRAPH 4.

1 3. SUBTRACT THE AMOUNT DETERMINED IN PARAGRAPH 2 OF THIS SUBSECTION
2 FROM THE AMOUNT DETERMINED IN PARAGRAPH 1 OF THIS SUBSECTION.

3 ~~H.~~ I. For the purposes of this section, "assessed valuation"
4 includes the values used to determine voluntary contributions collected
5 pursuant to title 9, chapter 4, article 3 and title 48, chapter 1,
6 article 8."

7 Amend title to conform

And, as so amended, it do pass

JUSTIN OLSON
CHAIRMAN

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